the lamentable episode observed, the removal of restrictions opened the door to ‘great laxity of practice and a ruinous system of banking.’[7]

The Presidency Act of 1876 restored substantially the old restrictions upon all three banks to safeguard the interests of government and the public. It prohibited the banks from conducting foreign exchange business. Lending for a period longer than six months, or upon mortgage, or on the security of immovable property was also forbidden. The government balances at the disposal of the banks were strictly limited. The government sold its shares in the banks and ceased to appoint official Directors. In return, most government banking work was retained in their hands and the prestige that this gave them enabled them to secure a large amount of other banking business.

While the Presidency Banks established branches at many important trade centres, they lacked points of contact, a fact which was often deplored. It was strongly felt that there should be only one bank of this kind for the whole country. In 1867, G. Dickson, the Secretary and Treasurer of the Bank of Bengal, placed before the government a proposal for the amalgamation of the three banks. His proposal did not find favour on the grounds that such an institution might overshadow the government itself. It was also thought that it would be difficult to manage, and that the merchants of the other two trading centres i.e. Bombay and Madras were entitled to separate banks to promote their own interests and convenience. In 1898, some witnesses before the Fowler Committee advocated the establishment of a central bank but the government did not favour the proposal. The Presidency Banks themselves wanted to retain their individuality and opposed amalgamation. It was the banking crisis of 1913–17 and the experience of the First World War during which they cooperated informally, but profitably, coupled with the fear of an invasion from London banking interests, which gave the Presidency Banks a keener realization of the commonness of their interests. They amalgamated to form the Imperial Bank of India in 1921.

Indian Joint-Stock Banks

The real stimulus for the establishment of joint-stock banks was provided by an Act passed in 1813 which removed all restrictions on Europeans